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: SUBIN-DL94220353911784283890S

Purchased by

: Adani Mangaluru International Airport Limited

Description of Document

: Article 5 General Agreement

Property Description

: Not Applicable

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: 0
(Zero)

First Party

: AIRPORTS AUTHORITY OF INDIA

Second Party

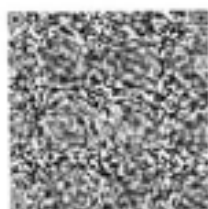
: Adani Mangaluru International Airport Limited

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: Adani Mangaluru International Airport Limited

Stamp Duty Amount(Rs.)

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CONCESSION AGREEMENT

FOR

MANGALURU INTERNATIONAL AIRPORT

BY AND BETWEEN

AIRPORTS AUTHORITY OF INDIA

AND

ADANI MANGALURU INTERNATIONAL AIRPORT LIMITED

Dated: February 14, 2020



CONCESSION AGREEMENT

This concession agreement (the "**Agreement**") is entered into at New Delhi on the 14th day of February, 2020.

By and between:

1. **Airports Authority of India**, a body corporate constituted by the central government under the Airports Authority of India Act, 1994 and having its corporate office at Rajiv Gandhi Bhawan, Safdarjung Airport, New Delhi, 110003, India (hereinafter referred to as the "**Authority**", which expression shall, unless repugnant to the context or meaning thereof, include its successors and assigns);

and

2. **Adani Mangaluru International Airport Limited**, a company incorporated under the provisions of the Companies Act, 2013, having corporate identification number U63030GJ2019PLC110062 and its registered office at Adani House, 56 Shrimali Society, Navrangpura, Ahmedabad, 380009, Gujarat, India (hereinafter referred to as the "**Concessionaire**", which expression shall, unless repugnant to the context or meaning thereof, include its successors, permitted assigns and substitutes).

As the context may require, the Authority and the Concessionaire will hereinafter be referred to individually as a "**Party**" and collectively as the "**Parties**".

WHEREAS:

- A. The functions and powers of the Authority under the Airports Authority of India Act, 1994 include the development, maintenance and management of airports in India, and in pursuance thereof, the Authority, having constructed the airport at Mangaluru in the State of Karnataka, is operating it under and in accordance with the Act.
- B. The GOI (*as defined below*), has decided to invite bids for undertaking the operations, management and development of certain airports of AAI on a public private partnership basis to bring efficiency in service delivery, expertise, enterprise and professionalism apart from harnessing necessary investments.
- C. The Authority, while prescribing technical and commercial terms and conditions for operations, management and development of the Airport (*as defined below*), invited proposals for the Project (*as defined below*) by its Request for Proposal No. 2018_AAI_19459_1 dated December 14, 2018 ("**Request for Proposal**" or "**RFP**").
- D. After evaluation of the bids received from the bidders and receipt of the security clearance from the Ministry of Home Affairs, GOI, the Authority accepted the Bid of Adani Enterprises Limited (the "**Selected Bidder**"), and issued its Letter of Award No. AAI/KID/PPP/06 APTS/LOA/Mangaluru/2019/94 dated July 15, 2019 ("**LOA**") to the Selected Bidder, requiring the Selected Bidder, *inter alia*, to execute this Agreement within the time period prescribed in the RFP, through a special purpose vehicle.
- E. The Selected Bidder has since promoted and incorporated such a special purpose vehicle as the Concessionaire under the Companies Act, 2013 in accordance with the terms of the RFP, and has requested the Authority to accept the Concessionaire as the entity which shall undertake and perform the obligations and exercise the rights of the Selected Bidder under the LOA, including the obligation to enter into this Agreement for undertaking the operations, management and development of the Airport.



- F. By its letter dated January 29, 2020, the Concessionaire, while representing that it has been promoted by the Selected Bidder for the purposes hereof, joined in the request of the Selected Bidder to the Authority to accept the Concessionaire as the entity which shall undertake and perform the obligations and exercise the rights of the Selected Bidder including the obligation to enter into this Agreement pursuant to the LOA.
- G. The Authority has agreed to the said request of the Selected Bidder and the Concessionaire, and has accordingly agreed to enter into this Agreement with the Concessionaire for operations, management and development of the Airport through PPP, subject to and on the terms and conditions set forth hereinafter.

NOW, THEREFORE, in consideration of the foregoing and the respective covenants and agreements set forth in this Agreement, the receipt and sufficiency of which is hereby acknowledged, and intending to be legally bound hereby, the Parties agree as follows:



ARTICLE 3. GRANT OF CONCESSION

3.1 The Concession

- 3.1.1 Subject to and in accordance with the provisions of this Agreement, Applicable Laws and the Applicable Permits, the Authority hereby grants to the Concessionaire, the concession set forth herein including the exclusive right, lease and authority to operate, manage and develop the Airport ("Concession") for a period of 50 (fifty) years commencing from the COD, and the Concessionaire hereby accepts the Concession and agrees to implement the Project subject to and in accordance with the terms and conditions set forth herein.
- 3.1.2 Subject to and in accordance with the provisions of this Agreement, the Authority, Applicable Laws and the Applicable Permits, the Concession hereby granted shall oblige or entitle (as the case may be) the Concessionaire to:
- (a) the Right of Way, access and lease to the Site for the purpose of and to the extent conferred by the provisions of this Agreement;
 - (b) finance the development and expansion of the Airport;
 - (c) operate, maintain and manage the Airport and regulate the use thereof by third parties;
 - (d) demand, collect and appropriate Fee from Users liable for payment of Fee for using the Airport or any part thereof and refuse entry of any such User if the Fee due is not paid;
 - (e) perform and fulfil all of the Concessionaire's obligations under and in accordance with this Agreement;
 - (f) save as otherwise expressly provided in this Agreement, bear and pay all costs, expenses, Taxes and charges in connection with or incidental to the performance of the obligations of the Concessionaire under this Agreement; and
 - (g) neither assign, transfer or create any lien or encumbrance on this Agreement, or the Concession hereby granted or on the whole or any part of the Airport nor transfer, or part possession thereof, save and except as expressly permitted by this Agreement or the Substitution Agreement.

3.2 City Side Development

Subject to and in accordance with the provisions of this Agreement and Applicable Laws, the Concession hereby granted shall, without prejudice to the provisions of Clause 3.1.2, entitle the Concessionaire to undertake development, finance, operation and maintenance of real estate at the Site specified in Schedule A, in accordance with Schedule B and Schedule C, and to use such development for commercial purposes in accordance with the provisions of Article 25 ("City Side Development") with the right to sub-lease and/ or sub-license any or all parts thereof by way of Project Agreements.

It is clarified that end-use of the City Side shall be in accordance with Applicable Laws as in force on the date of execution of this Agreement, and the Concessionaire shall be entitled to any additional end-use permitted pursuant to any subsequent restatement, amendment or re-enactment thereof only upon the prior written approval of GOI.



ARTICLE 4. CONDITIONS PRECEDENT

4.1 Conditions Precedent

4.1.1 Save and except as expressly provided in Article 4, Article 5, Article 6, Article 7, Article 8, Article 9, Article 10, Article 12, Article 15, Article 16, Article 24, Article 26, Article 27, Article 32, Article 35, Article 41 and Article 44, or unless the context otherwise requires, the respective rights and obligations of the Parties under this Agreement shall be subject to the satisfaction in full of the conditions precedent specified in this Clause 4.1 ("Conditions Precedent"). Provided, however, that a Party may grant waiver from satisfaction of any Condition Precedent by the other Party in accordance with the provisions of Clause 4.1.2 or Clause 4.1.3, as the case may be, and to the extent of such waiver, that Condition Precedent shall be deemed to be fulfilled for the purposes of this Clause 4.1.1.

4.1.2 The Concessionaire may, upon providing the Performance Security to the Authority in accordance with Article 9, by notice require the Authority to satisfy any or all of the Conditions Precedent set forth in this Clause 4.1.2 within the period prescribed in such notice and such period shall not be less than the period available for the Concessionaire to achieve the COD, and the Conditions Precedent required to be satisfied by the Authority shall be deemed to have been fulfilled when the Authority shall have:

- (a) procured for the Concessionaire, the Right of Way to the Site in accordance with the provisions of Clause 10.3;
- (b) novated Existing Contracts in favour of the Concessionaire, to the extent such novation does not contravene the provisions of the respective contracts;
- (c) granted to the Concessionaire, by means of a power of attorney, the authority to act for and behalf of the Authority as its agent in respect of such of the Existing Contracts which cannot be novated in favour of the Concessionaire for any reason.
- (d) caused the execution of the relevant following agreements (subject to Concessionaire being in compliance with its corresponding obligations):
 - (i) Escrow Agreement in the form provided in Schedule M;
 - (ii) Memorandum of Understanding in the form provided in Schedule R; and
 - (iii) CNS-ATM Agreement in the form provided in Schedule Q,

by itself, or by the relevant entity, as the case may be, upon receiving its duly executed copy from the Concessionaire and compliance of all the terms thereunder respectively, which may be necessary for the execution thereof.

4.1.3 Except as may have been specifically otherwise provided in this Agreement, the Conditions Precedent required to be satisfied by the Concessionaire within a period of 180 (one hundred and eighty) days from the date of this Agreement shall be deemed to have been fulfilled, when the Concessionaire shall, subject to the satisfaction of the Authority, have:

- (a) provided Performance Security to the Authority in accordance with Clause 9.1;
- (b) procured all the Applicable Permits as may be required for the commencement of the Project unconditionally, or if subject to conditions, then all such conditions required to be fulfilled by the date specified therein shall have been satisfied in full, and such Applicable Permits are in full force and effect;



ARTICLE 27. CONCESSION FEE

27.1 Monthly Concession Fee

- 27.1.1 Subject to Clause 27.3, the Concessionaire agrees to pay to the Authority, during the Concession Period, a monthly concession fee calculated as follows (the "**Monthly Concession Fee**"):

$$\begin{array}{ccccccc} \text{Per Passenger Fee} & & \text{International Passenger} & & \text{Per Passenger} & & \text{Domestic Passenger} \\ \text{for International} & \times & \text{Throughput for that} & + & \text{Fee for Domestic} & \times & \text{Throughput for that} \\ \text{Passengers} & & \text{month} & & \text{Passengers} & & \text{month} \end{array}$$

Where:

"**Per Passenger Fee for Domestic Passengers**" means Rs. 115 (Rupees One Hundred and Fifteen), as may be revised pursuant to Clause 27.3;

"**Per Passenger Fee for International Passengers**" means 2 (two) times the Per Passenger Fee for Domestic Passengers;

"**Domestic Passenger Throughput**" for any month shall mean the total domestic Passenger Traffic (embarking and disembarking passengers) as provided by the Authority by the 7th (seventh) day of the subsequent month in the form and manner as may be specified by the Authority from time to time;

"**International Passenger Throughput**" for any month shall mean the total international Passenger Traffic (embarking and disembarking passengers) as provided by the Authority by the 7th (seventh) day of the subsequent month in the form and manner as may be specified by the Authority from time to time;

Provided further that, in the first and that last months of the Concession Period, the International Passenger Throughput and Domestic Passenger Throughput shall be pro-rated by the number of the days in such months as reckoned with respect to the COD or Transfer Date, as relevant.

- 27.1.2 The Monthly Concession Fee paid/ payable by the Concessionaire to the Authority under and pursuant to the terms of this Agreement shall not be included as a part of costs for provision of Aeronautical Services and no pass-through would be available in relation to the same.

27.2 Verification of Passenger Throughput

The Authority may, in order to verify the International Passenger Throughput and/ or Domestic Passenger Throughput and/ or to ascertain the actual International Passenger Throughput and Domestic Passenger Throughput at the Airport, depute its representatives to the Airport and the offices of the Concessionaire, and undertake such other measures and actions as it may deem necessary. The Authority may call upon the Concessionaire to furnish any and all data, information, log, sheet, document or statement, as the Authority may deem fit and necessary for these purposes.

27.3 Revision of Per Passenger Fee

- 27.3.1 The Parties hereto acknowledge and agree that the Per Passenger Fee for Domestic Passengers and Per Passenger Fee for International Passengers shall be applicable from the COD and shall be revised annually on each anniversary of the COD to take account of the variation in the CPI (IW).



- (a) The Per Passenger Fee for Domestic Passengers in the first 15 (fifteen) Concession Years shall be revised in accordance with the following formula:

$$\text{Per Passenger Fee for Domestic Passengers}_{(CY)} = \text{Per Passenger Fee for Domestic Passengers}_{(CY-1)} \times (1 + 85\% \text{ of Delta CPI (IW)})$$

- (a) The Per Passenger Fee for Domestic Passengers in the remaining Concession Years shall be revised in accordance with the following formula:

$$\text{Per Passenger Fee for Domestic Passengers}_{(CY)} = \text{Per Passenger Fee for Domestic Passengers}_{(CY-1)} \times (1 + 50\% \text{ of Delta CPI (IW)})$$

Where:

"Per Passenger Fee_(CY)" means the revised Domestic Per Passenger Fee to be paid by the Concessionaire in the new Concession Year;

"Per Passenger Fee_(CY-1)" means Per Passenger Fee being paid by the Concessionaire in the previous Concession Year;

"Delta CPI (IW)" shall be calculated as follows:

$$\frac{[\text{Latest available monthly CPI (IW) as of the date of calculation}] - [\text{CPI (IW) pertaining to 12 (twelve) months prior to such latest available monthly CPI (IW)}]}{\text{CPI (IW) pertaining to 12 (twelve) months prior to such latest available monthly CPI (IW)}}$$

CPI (IW) pertaining to 12 (twelve) months prior to such latest available monthly CPI (IW)

Provided that, in the event that the Delta CPI, in any Concession Year after completion of the first Concession Year is negative, then Delta CPI for such year shall be deemed to be 0 (zero).

- 27.3.2 The Per Passenger Fee for International Passengers shall be revised in the manner set forth in Clause 27.1.1.

27.4 Payment of Monthly Concession Fee

- 27.4.1 Pursuant to Clause 27.2, the Authority shall submit to the Concessionaire, an invoice for the payment of the Monthly Concession Fee, which invoice shall also contain the amount of GST which is leviable on payment of the Monthly Concession Fee under Applicable Law, not later than the 15th (fifteenth) day of the subsequent month.
- 27.4.2 The Concessionaire shall bear any GST which is leviable on the payment of the Monthly Concession Fee to the Authority under Applicable Laws and, shall pay to the Authority, the amount of GST specified in the invoice raised by the Authority pursuant to Clause 27.4.1.
- 27.4.3 The Concessionaire shall be entitled to deduct any Taxes required to be deducted at source under Applicable Laws while making payment of the Monthly Concession Fee to the Authority.
- 27.4.4 Further, subject to and in accordance with Clause 35.1.1, in the event of any delay in payment of the Monthly Concession Fee as per this Clause 27.4, the Concessionaire shall pay to the Authority of a sum calculated at the rate of 0.05% (zero point zero five percent) of the Performance Security for each day of delay.



27.5 Yearly Reconciliation of Monthly Concession Fee

- 27.5.1 The cumulative Monthly Concession Fee payable to the Authority by the Concessionaire for any Concession Year shall be:

$$\sum_{i=1}^{12} \text{Monthly Concession Fee paid for the month } i \text{ in any Concession Year}$$

- 27.5.2 The cumulative Monthly Concession Fee paid by the Concessionaire for any Concession Year shall be compared with the Yearly Concession Fee payable for that Concession Year.

For the purpose of this Clause, "Yearly Concession Fee" shall be calculated as per the following formula:

$$\begin{array}{ccccc} \text{Per Passenger Fee for} & & \text{International} & & \text{Per Passenger Fee} & & \text{Domestic Passenger} \\ \text{International} & & \text{Passenger} & & \text{for Domestic} & & \text{Throughput for the} \\ \text{Passengers for the} & \times & \text{Throughput for the} & + & \text{Passengers for the} & \times & \text{Concession Year} \\ \text{Concession Year} & & \text{Concession Year} & & \text{Concession Year} & & \end{array}$$

The adjustment towards any differences in the cumulative Monthly Concession Fee paid by the Concessionaire for a Concession Year and the Yearly Concession Fee for that Concession Year shall be undertaken as part of the Balancing Payment that becomes due and payable as per Clause 31.4 immediately after the completion of the reconciliation.

27.6 Termination for Fall in Passenger Traffic

- 27.6.1 Notwithstanding the above, in the event that the Passenger Traffic Change is negative by 20% (twenty percent) or more for a consecutive period of 2 (two) Concession Years, the Agreement may be terminated by the Concessionaire within 180 (one hundred and eighty) days of the expiry of the second such Concession Year, by giving a notice of 30 (thirty) days.

Where:

"Total Passenger Throughput" means the sum total of International Passenger Throughput and Domestic Passenger Throughput;

"Passenger Traffic Change", denoted as a percentage, is calculated as follows:

$$100 \times \frac{\text{Total Passenger Throughput for the current Concession Year} - \text{Total Passenger Throughput for the previous Concession Year}}{\text{Total Passenger Throughput for the previous Concession Year}}$$

- 27.6.2 Upon such Termination, the Authority shall be liable to pay to the Concessionaire an amount equal to 70% (seventy percent) of the Termination Payment.
- 27.6.3 It is hereby agreed and acknowledged that the Authority or its Affiliates shall not commission a new airport within a 50 Km radius of the Airport prior to the expiry of 10 (ten) years from the COD.

